

News Release



SAFARICOM PLC ANNOUNCES AUDITED RESULTS FOR THE PERIOD ENDED 30 SEPTEMBER 2018.

KEY HIGHLIGHTS ¹

Full-Year Guidance Maintained

- Service revenue growth of 7.7% to KES 118.2bn.
- Voice service (incoming and outgoing) revenue grew by 1.4% to KES 48.0bn.
- M-PESA revenue growth of 18.2% to KES 35.5bn.
- Mobile data revenue increased by 10.8% to KES 19.5bn.
- Messaging revenue declined by 1.2% to KES 8.8bn.
- Fixed service revenue increased by 21.0% to KES 3.9bn.
- Customer numbers increased by 1.5% to 29.9m.
- 30-day active M-PESA customer growth of 8.8% to 21.0m.
- 30-day active mobile data customer growth of 3.8% to 17.6m.

Strong financial performance

- 18.7% growth in EBIT to KES 44.6bn with an EBIT margin of 36.3%, up 3.5ppts YoY.
- Net Income increased by 20.2% to KES 31.5bn.
- Free Cash Flow up 18.8% to KES 38.5bn.

Bob Collymore, Safaricom PLC CEO commented:

I'm pleased with the progress we made on a number of fronts in the first half of the year. We achieved solid results driven by strong M-PESA gains, further diversification of our revenue mix to tap into new growth areas and investment in new revenue streams, which contributed to a double digit increase in Earnings Per Share (EPS), and free cash flow.

We accomplished all this while sustaining investment in our network, which saw us invest KES 17 billion in the first half of the year driven by increased network roll out and acceleration of broadband and fibre deployment.

As part of our 18th anniversary celebrations we unveiled a new brand campaign aimed at reinforcing our commitment to customers. The campaign, dubbed "Nawe Kila Wakati", is expected to deepen customer engagement by giving access to more affordable voice, data and messaging services.

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In so doing, Safaricom hopes to endear itself to Kenyans as an enabler, a brand that allows customers to communicate, socialize and do business in line with our strategy of putting the customer first and delivering relevant products and services.

To deliver on this strategy and ensure that Safaricom is fit for the future, we have embraced the agile way of working. This approach is helping us enhance efficiencies and innovate faster in order to meet rapidly changing customer needs.

The agile approach is also enabling our business to adapt to a dynamic operating environment, which is at the moment characterised by increased taxation, increased competition and continued uncertainty in the regulatory space, therefore allowing us to identify sustainable growth opportunities and maintain our full-year guidance.

Guided by our brand purpose of Transforming Lives, we have continued to strengthen our support for community projects and invest in shared value propositions with the potential to resolve some of Kenya's most pressing challenges.

We are leveraging the power of mobile technology to develop, take to market and scale propositions in health, agriculture and education, impacting livelihoods positively through products such as: M-TIBA (the mobile health wallet), DigiFarm (our mobile-based agri-business solution) and Shupavu291, a learning tool that is giving millions of young learners in Kenya access to curriculum-approved educational content via the mobile phone.

We also recently officially opened the M-PESA Foundation Academy, which is moulding close to 500 bright young children from disadvantaged backgrounds into future leaders.

Looking ahead, Safaricom is well positioned to sustain growth through continued investment in priority areas such as our E-Commerce platform, Masoko, regional expansion of M-PESA, DigiFarm and Home and Enterprise solutions.

Operating review

Strategic progress

We continue to invest heavily in our network, enhancing our quality and coverage, with 4G now extending to 53%, up 21ppts YoY. We continue to leverage the power of mobile technology and diversify our sales mix with M-PESA now accounting for 30% of total service revenue, up 3ppts YoY, and are excited about the future prospects of portfolio expansion and diversification.

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Voice and messaging

In line with management expectation voice revenue eased to 1.4% yoy contributing 41% of service revenue while messaging declined by 1.2% and contributed 7.5% of service revenue.

M-PESA, Mobile Data and Fixed Services

These three growth drivers contributed 95% of total service revenue growth. During the first six months of the year, M-PESA was the main driver of growth, contributing 64% of service revenue growth, further accelerating displacement of traditional voice and messaging services.

Mobile data and fixed data contributed 30% of total service revenue growth.

i. M-PESA

We are encouraged by the significant commercial recovery that has taken place within M-PESA, growing at 18.2% YoY. While growth in withdrawal revenue continues to slow down, we can see an acceleration in growth of both P2P and new business, with new business now accounting for 27% of total M-PESA revenue.

ii. Mobile Data

Growth in mobile data revenue eased to 10.8% in the period. Despite the softer revenue growth recorded, we are encouraged by the strong increase in usage, with average usage per subscriber growing 67% YoY to 640MBs. This growth reflects the success of our more-for-more plans and personalised offers as we continue to push a worry free experience for our customers. During the period, we reduced the effective rate per MB by 36% YoY.

iii. Fixed Data

We maintained great momentum in our fixed service business, connecting an additional 30k homes in H1 and more than doubling our coverage YoY.

Though a relatively new line of business, fixed data now contributes 3.3% to total service revenue and grew at 21% YoY in the period.

Summary and outlook

We are pleased with the strong results for the first half of this year and remain confident that we will meet our full year guidance, building on our track record of consistent delivery, protecting shareholder wealth and putting the customer first.

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ⁱ Following the modified retrospective adoption of IFRS 15 - Revenue from Contracts with Customers on 1 April 2018, the Group's results for the six months ended 30 September 2018 are on an IFRS 15 basis, whereas the results for the six months ended 30 September 2017 are (as previously reported) on an IAS 18 basis. To ensure appropriate disclosure during the period of transition onto IFRS 15, numbers for the six months ended 30 September 2018 have been disclosed on both an IFRS 15 and IAS 18 basis and our commentary describing our operating performance has been provided solely on an IAS 18 basis

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1. Key Performance Indicators

Key Performance Indicators	HY19	HY18	% Increase/ (Decrease)
Total customers (m)	29.94	29.49	1.5%
Total customer ARPU*	662.51	628.45	5.4%
30 day active customers (m)	25.20	24.17	4.3%
30 day active customer ARPU*	782.90	749.18	4.5%
Churn (%)	24.89%	25.58%	(0.7ppt)
Voice			
30 day active voice customers (m)	23.17	22.23	4.2%
30 day active voice customer ARPU*	350.01	351.54	(0.4%)
M-PESA			
Number of M-PESA agents	162,800	148,107	9.9%
30 day active M-PESA customers (m)	21.01	19.31	8.8%
30 day active M-PESA ARPU*	284.24	257.88	10.2%
Mobile Data			
30 day active mobile data customers (m)	17.59	16.95	3.8%
30 day active mobile data ARPU*	183.22	169.77	7.9%
Messaging			
30 day active messaging customers (m)	17.17	16.76	2.5%
30 day active messaging customer ARPU*	84.42	86.16	(2.0%)
Fixed Service*			
30 day active Fixed data customers	18,474	14,142	30.6%
30 day active Fixed data ARPU (FTTB)	24,577	28,796	(14.7%)
30 day active Fixed data ARPU (FTTH)	2,774	2,927	(5.2%)
Base Stations			
2G base stations	4,839	4,435	9.1%
3G base stations	4,737	3,913	21.1%
4G base stations	2,353	1,454	61.8%

*ARPU is in KShs

**All KPIs based on IAS18

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1. Condensed consolidated statement of comprehensive income

KShs Bn	IFRS 15 HY19	IAS 18 HY19	IAS 18 HY18	IAS 18 Change%
Voice revenue	47.53	48.03	47.35	1.4%
M-PESA revenue	35.52	35.52	30.05	18.2%
Messaging revenue	9.67	8.81	8.92	(1.2%)
Mobile data revenue	19.01	19.45	17.55	10.8%
Fixed service revenue	3.84	3.91	3.23	21.0%
Other service revenue	2.49	2.49	2.63	(5.3%)
Service Revenue	118.05	118.21	109.73	7.7%
Handset revenue and other revenue	4.31	4.33	4.49	(3.5%)
Construction revenue	0.30	0.30	0.20	48.7%
Total Revenue	122.66	122.84	114.43	7.4%
Other Income	0.17	0.17	0.32	(47.8%)
Direct costs	(34.96)	(34.81)	(36.07)	(3.5%)
Construction costs	(0.30)	(0.30)	(0.20)	48.7%
Contribution margin	87.57	87.90	78.47	12.0%
Contribution margin %*	71.5%	71.6%	68.5%	3.1ppt
Operating costs	(25.82)	(25.82)	(24.13)	7.0%
Forex Loss on trading activities	0.03	0.03	(0.08)	<100.0%
Opex & forex loss % total revenue	21.0%	21.0%	21.1%	(0.1ppt)
EBITDA	61.79	62.12	54.27	14.5%
EBITDA margin %*	50.4%	50.6%	47.4%	3.2ppt
Depreciation & amortisation	(17.56)	(17.56)	(16.74)	4.9%
EBIT	44.22	44.56	37.53	18.7%
EBIT Margin %*	36.1%	36.3%	32.8%	3.5ppt
Net Financing, Forex and Fair Value Losses	1.41	1.41	0.28	>100.0%
Share of associate (loss)/profit	(0.01)	(0.01)	0.01	<100.0%
Earnings Before taxation	45.63	45.96	37.82	21.5%
Taxation	(14.46)	(14.46)	(11.61)	24.5%
Net Income	31.17	31.50	26.20	20.2%
Net Income %*	25.4%	25.7%	22.9%	2.8ppt
Earnings per share	0.78	0.79	0.65	20.2%

*All margins are calculated on total revenue (excluding construction revenue) plus other income

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2. Condensed consolidated statement of financial position

KShs Bn	30-Sep-18 IFRS15	30-Sep-18 IAS18	31-March-18 IAS18	IAS 18 Change %
Share Capital (including share premium)	4.20	4.20	4.20	-
Retained earnings	108.82	107.14	75.64	41.6%
Proposed Dividends	-	-	44.07	-
Capital Employed	113.03	111.34	123.91	(10.1%)
Non-Current Assets	139.65	139.63	139.98	(0.3%)
Current Assets				
Contract assets	2.69	-	-	-
Inventories	2.08	2.08	1.60	30.0%
Receivables and prepayments	20.63	20.63	15.86	30.1%
Cash and cash equivalents	36.67	36.67	9.50	>100.0%
Tax recoverable	-	-	0.50	-
	62.07	59.38	27.46	>100.0%
Current Liabilities				
Contract liabilities	10.00	8.71	8.85	(1.6%)
Payables and accrued expenses	38.02	38.30	26.46	44.7%
Provisions	3.10	3.10	4.03	(23.0%)
Dividends Payable	33.03	33.03	-	-
Current income tax	0.52	0.50	0.14	>100.0%
Borrowings	4.04	4.04	4.04	(0.1%)
	88.69	87.67	43.53	>100.0%
Net Current Liabilities	(26.62)	(28.28)	(16.07)	76.1%
Net Assets	113.03	111.34	123.91	(10.1%)
Gross gearing (gross borrowing) % Capital employed	3.6%	3.6%	3.3%	0.4pp

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3. Net Cash

KShs. Billion	30-Sep-18 IFRS 15	30-Sep-18 IAS 18	31-March-18 IAS 18	IAS 18 Change %
Cash and cash equivalents	36.67	36.67	9.50	>100.0%
Bank borrowings	(4.04)	(4.04)	(4.04)	(0.1%)
Total net cash	32.64	32.64	5.46	>100.0%

4. Free cash flow

KShs. Billion	HY19 IFRS 15	HY19 IAS 18	HY18 IAS 18	IAS 18 Change%
EBITDA	61.79	62.12	54.27	14.5%
Working capital movement	6.45	5.44	8.90	(38.9%)
Capital Additions	(16.85)	(16.85)	(17.39)	(3.1%)
Movement in contract liabilities and provision for other liabilities	0.22	0.22	0.00	-
Operating free cash flow	51.60	50.92	45.78	11.2%
Net Interest received	1.28	1.28	0.33	>100.0%
Taxation paid	(13.71)	(13.71)	(13.70)	0.1%
Free cash flow	39.18	38.50	32.40	18.8%

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CONDENSED UNAUDITED RESULTS FOR THE PERIOD ENDED 30 SEPTEMBER 2018

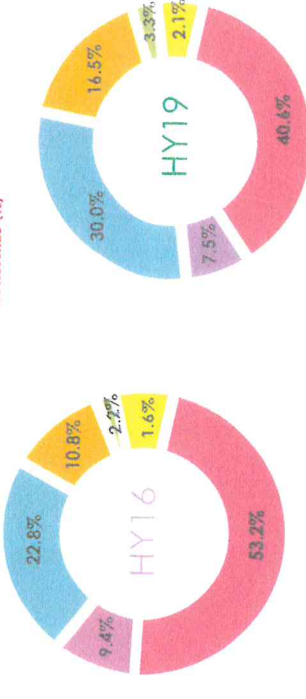
Condensed Consolidated Statement of Comprehensive Income for the six months ended KShs Bn					GROUP		
	30-Sep-18 IFRS 15	30-Sep-18 IAS 18	30-Sep-17 IAS 18	Change % IAS 18			
Service Revenue	118.05	118.21	109.73	7.7%			
Handsets and Other Revenue	4.31	4.33	4.49	(3.5%)			
Construction Revenue	0.30	0.30	0.20	48.7%			
Total Revenue	122.66	122.84	114.43	7.4%			
Other Income	0.17	0.17	0.32	(47.8%)			
Direct Costs	(34.96)	(34.81)	(36.07)	(3.5%)			
Construction Costs	(0.30)	(0.30)	(0.20)	48.7%			
Other Expenses	(25.79)	(25.79)	(24.21)	6.5%			
Earnings Before Interest, Taxes, Depreciation & Amortisation (EBITDA)	61.79	62.12	54.27	14.5%			
Depreciation and Amortisation	(17.56)	(17.56)	(16.74)	4.9%			
Earnings Before Interest and Taxes (EBIT)	44.22	44.56	37.52	18.7%			
Finance Income	1.54	1.54	0.91	68.8%			
Finance Costs	(0.13)	(0.13)	(0.63)	(79.5%)			
Share of (loss) / Profit of Associate	(0.01)	(0.01)	0.01	<100.0%			
Profit Before Taxation	45.63	45.96	37.81	21.5%			
Income Tax Expense	(14.46)	(14.46)	(11.61)	24.5%			
Total Comprehensive Income for the Year	31.17	31.50	26.20	20.2%			
Attributed to:							
Equity Holders of the Company	31.17	31.50	26.20	20.2%			
Basic and Diluted Earnings Per Share (EPS)	0.78	0.79	0.65	20.2%			
Condensed Consolidated Statement of Financial Position KShs Bn							
	30-Sep-18 IFRS 15	30-Sep-18 IAS 18	31-Mar-18 IAS 18	Change % IAS 18			
Capital Employed							
Share Capital (Including Share Premium)	4.20	4.20	4.20	-			
Retained Earnings	108.82	107.14	75.64	41.6%			
Proposed Dividends	-	-	44.07	-			
Shareholders Funds	113.03	111.34	123.91	(10.1%)			
Represented by							
Non Current Assets	139.65	139.63	139.98	(0.3%)			
Current Assets:							
Contract Assets	2.69	-	-	-			
Inventories	2.08	2.08	1.60	30.0%			
Receivables and Prepayments	20.63	20.63	15.86	30.1%			
Cash and Cash Equivalents	36.67	36.67	9.50	>100.0%			
Income Tax Recoverable	-	-	0.50	-			
Current Liabilities:	62.07	59.38	27.46	>100.0%			
Contract Liabilities	10.00	8.71	8.85	(11.6%)			
Payables and Accrued Expenses	38.02	38.30	26.46	44.7%			
Provisions	3.10	3.10	4.03	(23.0%)			
Dividends Payable	33.03	33.03	-	-			
Current Income Tax	0.52	0.50	0.14	>100.0%			
Borrowings	4.04	4.04	4.04	(0.1%)			
Net Current Liabilities	88.69	87.67	43.53	>100.0%			
	(26.62)	(28.28)	(16.07)	76.1%			
Net Current Liabilities	113.03	111.34	123.91	(10.1%)			
Condensed Consolidated Statement of Cash Flows KShs Bn							
	30-Sep-18 IFRS 15	30-Sep-18 IAS 18	30-Sep-17 IAS 18	Change % IAS 18			
Operating Activities							
Cash Generated from Operations	67.68	67.68	63.19	7.1%			
Movement in Restricted Cash	(0.18)	(0.18)	(0.30)	(41.1%)			
Net Interest Received	1.28	1.28	0.33	>100.0%			
Income Tax Paid	(13.71)	(13.71)	(13.70)	0.1%			
Net Cash from Operating Activities	55.08	55.08	49.51	11.2%			
Investing Activities							
Proceeds from Borrowings	(16.85)	(16.85)	(17.39)	(3.1%)			
Repayments on Borrowings	4.03	4.03	6.53	(38.3%)			
Dividends Paid	(4.03)	(4.03)	(16.54)	(75.6%)			
	(11.05)	(11.05)	-	-			
Net Movement in Cash and Cash Equivalents	27.17	27.17	22.11	22.9%			
Movement in Cash and Cash Equivalents At Start of Year	9.50	9.50	5.96	59.5%			
At End of the Period	36.67	36.67	28.07	30.7%			

Key highlights for the period ended 30 September 2018

- Customer numbers have increased by 15% to 29.9m as at 30 September 2018 from 29.0m as at 30 September 2017
- Mobile data customers who were active in the last 30 days increased by 3.8% to 17.5m as at 30 September 2018 from 16.95m as at 30 September 2017. Usage increased 67% yoy to 640MBs with effective price per MB reducing by 36% yoy.
- M-PESA customers who were active in the last 30 days grew by 8.8% to 21.0m as at 30 September 2018 compared to 19.3m as at 30 September 2017
- Service revenue increased by 7.7% from KShs 109.73bn to KShs 118.21bn for the period ended 30 September 2018 from KShs 109.73bn to KShs 118.21bn for the period ended 30 September 2018
- Voice service revenue increased by 14% from KShs 47.35bn to KShs 48.03bn for the period ended 30 September 2018 from KShs 47.35bn to KShs 48.03bn for the period ended 30 September 2018
- Messaging revenue decreased by 12% from KShs 8.92bn to KShs 8.81bn for the period ended 30 September 2018 from KShs 8.92bn to KShs 8.81bn for the period ended 30 September 2018
- Mobile data revenue increased by 10.8% from KShs 17.53bn to KShs 19.45bn for the period ended 30 September 2018 from KShs 17.53bn to KShs 19.45bn for the period ended 30 September 2018
- Fixed service revenue increased by 21.0% from KShs 3.23bn to KShs 3.91bn for the period ended 30 September 2018 from KShs 3.23bn to KShs 3.91bn for the period ended 30 September 2018
- M-PESA revenue grew by 18.2% from KShs 30.05bn to KShs 35.52bn for the period ended 30 September 2018 from KShs 30.05bn to KShs 35.52bn for the period ended 30 September 2018
- Non-Voice service revenue (M-PESA/Messaging/Broadband/Other service revenue) increased to 59.4% of total service revenues for the period ended 30 September 2018
- EBITDA increased by 14.5% from KShs 54.27bn to KShs 62.12bn for the period ended 30 September 2018 from KShs 54.27bn to KShs 62.12bn for the period ended 30 September 2018
- EBIT increased by 18.7% from KShs 37.52bn to KShs 44.56bn for the period ended 30 September 2018 from KShs 37.52bn to KShs 44.56bn for the period ended 30 September 2018
- Net income increased by 20.2% from KShs 26.20bn to KShs 31.50bn for the period ended 30 September 2018 from KShs 26.20bn to KShs 31.50bn for the period ended 30 September 2018



Breakdown of Service Revenue (%)



Commentary on results

The Board of Directors is pleased to announce the unaudited results for the half year ended 30 September 2018. The same accounting policies and methods of computation have been used as were in the last financial statements, except for changes in IFRS 15 and IFRS 9.

During the period there was an increase in the number of customers to 29.9m with M-PESA 30 day active customers increasing to 21.0m and mobile data 30 day active customers increasing to 17.5m.

Capital expenditure in the network for the period ended 30 September 2018 stood at KShs 16.9bn. To finance this expansion, the company levered its statement of financial position and continues to invest a significant portion of internally generated cash.

Borrowings

As at 30 September 2018 bank borrowings were at KShs 4.04bn with cash and cash equivalents at KShs 36.67bn, leaving a net cash of KShs 32.63bn.

Taxation

The Group continues to be a major contributor to the revenues of the Government and remitted KShs 47.05bn in duties, taxes and license fees for the period ended 30 September 2018. This increased the total duties, taxes and fees paid since inception to KShs 628.32bn.

To ensure appropriate disclosure during the period of transition onto IFRS 15, numbers for the six months ended 30 September 2018 have been disclosed on an IAS 18 basis and not commentary describing our operational performance has been provided solely on an IAS 18 basis.

* EPS based on results to 30th September 2018

By order of the Board

Nicholas Nganga
Chairman

1 November 2018